BofA SECURITIES

Kinik

Strong advanced nodes and packaging expansion support decent earnings

Reiterate Rating: BUY | PO: 1,050 TWD | Price: 737.00 TWD

3Q26 margin beat on favorable product mix

Kinik's 3Q26 sales grew 8% QoQ, mainly driven by solid diamond disk demand from N2 and advanced packaging capacity ramp and increasing shipments of high-end test/reclaim wafer, more than offsetting weakness at Thailand ABU subsidiary. 3Q26 GMs improved by 220bps QoQ to 42.2% on improving product mix across ABU and DBU segments, taking 3Q26 EPS to NT$3.91(vs. BofAe/Street NT$4.09/NT$4.08).

4Q26 sales grow on continued advanced nodes expansion

The company guided 4Q26 sales to grow slightly QoQ (BofAe + 2% QoQ), implying full-year revenue growth of +25% YoY, backed by strength across diamond disk, test wafer, and reclaim wafer amid ongoing advanced nodes capacity build-out. Strong contribution from high-margin DBU segment, coupled with a favorable mix shift in ABU driven by ABF diamond wheels, should lift 4Q26 GMs further to 43.5%, in our view.

Solid DBU demand and SBU ramp underpin '27-28

On accelerated 3nm, 2nm and A16 capacity ramp at full utilization, alongside benign mature node supply/demand landscape and steady engagement with Intel on 18A/14A, we forecast Kinik's diamond disk shipment to +48% CAGR over '26-28. Meanwhile, Kinik's SBU sales could deliver +22% CAGR over '26-28 as 10% price hike on selected products take effect from early 2027 and carrier wafer demand from Micron HBM grow more meaningfully from 2H27. Beyond its existing business, grinding wheels for advanced packaging are currently under customer qualification, and would provide upside potential with TAM much larger than diamond disk.

Diverse drivers and margin expansion warrant re-rating

We keep our 2026/27/28 EPS largely unchanged at NT$14.98/26.23/36.84. Reiterate our Buy rating and PO of NT$1,050, still based on 32x 2H27-1H28E P/E (vs. its historical range 9-42x), supported by robust sales/earnings CAGR of +32%/+57% over '26-28.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,035	1,360	2,263	3,960	5,564
EPS	7.10	9.28	14.98	26.23	36.84
EPS Change (YoY)	20.2%	30.7%	61.5%	75.0%	40.5%
Dividend / Share	5.00	4.00	5.00	8.00	8.00
Free Cash Flow / Share	8.70	5.83	7.11	13.50	24.73
Valuation (Dec)					
P/E	103.81x	79.42x	49.18x	28.10x	20.00x
Dividend Yield	0.678%	0.543%	0.678%	1.09%	1.09%
EV / EBITDA*	64.43x	57.12x	33.74x	20.64x	14.96x
Free Cash Flow Yield*	1.15%	0.771%	0.969%	1.84%	3.37%

* For full definitions of *IQmethod℠* measures, see page 6.

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price

11 November 2026

Equity

Key Changes

(NT$)	Previous	Current
2026E EPS	15.15	14.98
2027E EPS	26.03	26.23
2028E EPS	36.59	36.84
2026E EBITDA (m)	3,181.9	3,293.2
2027E EBITDA (m)	5,171.1	5,382.7
2028E EBITDA (m)	7,170.4	7,424.4

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Stock Data

Price	737.00 TWD
Price Objective	1,050 TWD
Date Established	24-Sep-2026
Investment Opinion	B-1-7
52-Week Range	296.48 TWD-1,060 TWD
Mrkt Val / Shares Out (mn)	3,360 USD / 150.3
Market Value (mn)	110,763 TWD
Average Daily Value (mn)	37.34 USD
Free Float	75.0%
BofA Ticker / Exchange	KIKCF / TAI
Bloomberg / Reuters	1560 TT / 1560.TW
ROE (2026E)	23.5%
Net Dbt to Eqty (Dec-2025A)	-1.8%

See page 3 for Glossary

*iQ*profile℠ Kinik

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	7,019	8,149	10,227	14,060	17,870
Gross Profit	2,188	2,647	4,133	6,277	8,265
Sell General & Admin Expense	(869)	(1,153)	(1,359)	(1,483)	(1,526)
Operating Profit	1,155	1,303	2,554	4,553	6,491
Net Interest & Other Income	134	356	251	321	357
Associates	NA	NA	NA	NA	NA
Pretax Income	1,289	1,659	2,805	4,874	6,847
Tax (expense) / Benefit	(227)	(262)	(513)	(877)	(1,233)
Net Income (Adjusted)	1,035	1,360	2,263	3,960	5,564
Average Fully Diluted Shares Outstanding	146	147	151	151	151
Key Cash Flow Statement Data					
Net Income	1,035	1,360	2,263	3,960	5,564
Depreciation & Amortization	569	642	739	830	934
Change in Working Capital	(185)	(580)	(541)	(1,512)	(994)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	198	492	62	(255)	(239)
Cash Flow from Operations	1,617	1,914	2,523	3,023	5,264
Capital Expenditure	(349)	(1,060)	(1,449)	(984)	(1,530)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	(114)	(853)	39	304	303
Cash Flow from Investing	(462)	(1,913)	(1,410)	(680)	(1,227)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(580)	(584)	(680)	(1,131)	(1,980)
Cash Flow from Financing	(173)	(462)	(262)	(1,131)	(1,980)
Free Cash Flow	1,269	855	1,073	2,039	3,734
Net Debt	(848)	(157)	(342)	(1,554)	(3,611)
Change in Net Debt	(1,825)	696	(190)	(1,212)	(2,057)
Key Balance Sheet Data					
Property, Plant & Equipment	4,249	5,417	5,788	5,788	5,788
Other Non-Current Assets	1,566	2,359	2,810	2,952	3,536
Trade Receivables	1,149	1,420	1,809	2,556	3,036
Cash & Equivalents	2,001	1,578	2,415	3,627	5,684
Other Current Assets	2,087	2,483	3,803	4,737	5,381
Total Assets	11,051	13,258	16,626	19,660	23,424
Long-Term Debt	1,078	1,010	873	873	873
Other Non-Current Liabilities	1,071	1,578	340	340	340
Short-Term Debt	75	412	1,200	1,200	1,200
Other Current Liabilities	1,400	1,770	2,731	2,900	3,030
Total Liabilities	3,625	4,769	5,144	5,312	5,442
Total Equity	7,426	8,489	11,482	14,347	17,982
Total Equity & Liabilities	11,051	13,258	16,625	19,660	23,424
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	11.0%	10.8%	16.7%	24.7%	29.1%
Return On Equity	15.6%	17.8%	23.5%	31.5%	35.3%
Operating Margin	16.5%	16.0%	25.0%	32.4%	36.3%
EBITDA Margin	24.6%	23.9%	32.2%	38.3%	41.5%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.6x	1.4x	1.1x	0.8x	0.9x
Asset Replacement Ratio	0.6x	1.7x	2.0x	1.2x	1.6x
Tax Rate (Reported)	17.6%	15.8%	18.3%	18.0%	18.0%
Net Debt-to-Equity Ratio	-11.4%	-1.8%	-3.0%	-10.8%	-20.1%
Interest Cover	26.2x	26.9x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductor Capital Equipment

Company Description

Kinik was established in 1953 as a conventional grinding wheels supplier. Since 1990-2000s, the company has transformed itself into a semiconductor consumables supplier including CMP pad conditioners (diamond disks) and reclaim/test wafers.

Investment Rationale

We have a Buy rating on Kinik. We acknowledge its technology for CMP diamond disk is solid to support its gain in TSMC advanced nodes and Intel along with growing reclaimed and testing wafer demand. We expect to see margins expansion from mix upgrade in coming years.

Stock Data

Price to Book Value	9.9x

Focus tables

Exhibit 1: Kinik 3Q26-4Q26 and 2026-27 estimates BofAe vs. Street
Our new EPS estimates for 2026/27 are now NT$14.98/26.23

	3Q26E				4Q26E			2026E			2027E	
	Actual	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$2,694	$2,706	$2,724	$2,747	$2,787	$2,823	$10,227	$10,279	$10,309	$14,060	$13,909	$12,925
Sales QoQ / YoY (%)	8.1%	8.5%	9.3%	2.0%	3.0%	3.6%	25.5%	26.1%	26.5%	37.5%	35.3%	25.4%
Gross profit (NT$mn)	$1,137	$1,077	$1,110	$1,195	$1,162	$1,183	$4,133	$4,040	$4,096	$6,277	$6,094	$5,629
GMs (%)	42.2%	39.8%	40.8%	43.5%	41.7%	41.9%	40.4%	39.3%	39.7%	44.6%	43.8%	43.6%
Operating profit (NT$mn)	$726	$655	$710	$780	$740	$767	$2,554	$2,443	$2,482	$4,553	$4,341	$3,724
OpMs (%)	27.0%	24.2%	26.1%	28.4%	26.5%	27.2%	25.0%	23.8%	24.1%	32.4%	31.2%	28.8%
Pretax profit (NT$mn)	$732	$754	$759	$877	$857	$809	$2,805	$2,808	$2,754	$4,874	$4,799	$3,998
Pretax margins (%)	27.2%	27.9%	27.9%	31.9%	30.8%	28.7%	27.4%	27.3%	26.7%	34.7%	34.5%	30.9%
Tax expense (NT$mn)	-$141	-$141	-$146	-$164	-$161	-$149	-$542	-$539	-$539	-$914	-$900	-$771
Tax rate (%)	19.3%	18.7%	19.2%	18.7%	18.7%	18.4%	19.3%	19.2%	19.6%	18.7%	18.7%	19.3%
Net profit (NT$mn)	$590	$613	$613	$712	$697	$660	$2,263	$2,269	$2,215	$3,960	$3,899	$3,227
Net margins (%)	21.9%	22.6%	22.5%	25.9%	25.0%	23.4%	22.1%	22.1%	21.5%	28.2%	28.0%	25.0%
EPS (NT$)	$3.91	$4.09	$4.08	$4.72	$4.65	$4.37	$14.98	$15.15	$14.82	$26.23	$26.03	$21.52

Source: Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Terms and definitions
Glossary of abbreviations/acronyms

Term	Definition
ABF	Ajinomoto Build-up Film
ABU	Abrasives Business Unit
AI	Artificial Intelligence
CMP	Chemical-Mechanical Polishing
DBU	Diamond Business Unit
HBM	High Bandwidth Memory
OSAT	Outsourced Semiconductor Assembly/Testing
SBU	Semiconductor Business Unit

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Kinik (KIKCF)
Our Price Objective of NT$1,050 is based on 32x 2H27-1H28E P/E, which is at upper half of the company's historical trading range of 9-42x. In our view, the valuation multiple is underpinned by
1) around +57% earnings CAGR in 2026-28E supported by +32% sales CAGR growth and GMs/OpMs expansion, 2) ROE expansion to around 30% in 2025-28E, 4) net cash of around NT$30/share, and 5) free cash flow generation of around NT$50/share per annum across 2025-27E.

Downside risks to our estimates and expectations are
1) weaker market demand, especially in the cloud AI investment moderation, leading to lower utilization across its major foundry and memory customers and undermining the company's revenue growth and operating leverage
2) slower manufacturing technology migration by its foundry and memory customers, dragging the product upgrade cycle for Kinik and potentially spurring more competition from its peers.
3) failure to execute or delay of technology roadmap, potentially leading to an order shift to its competitors.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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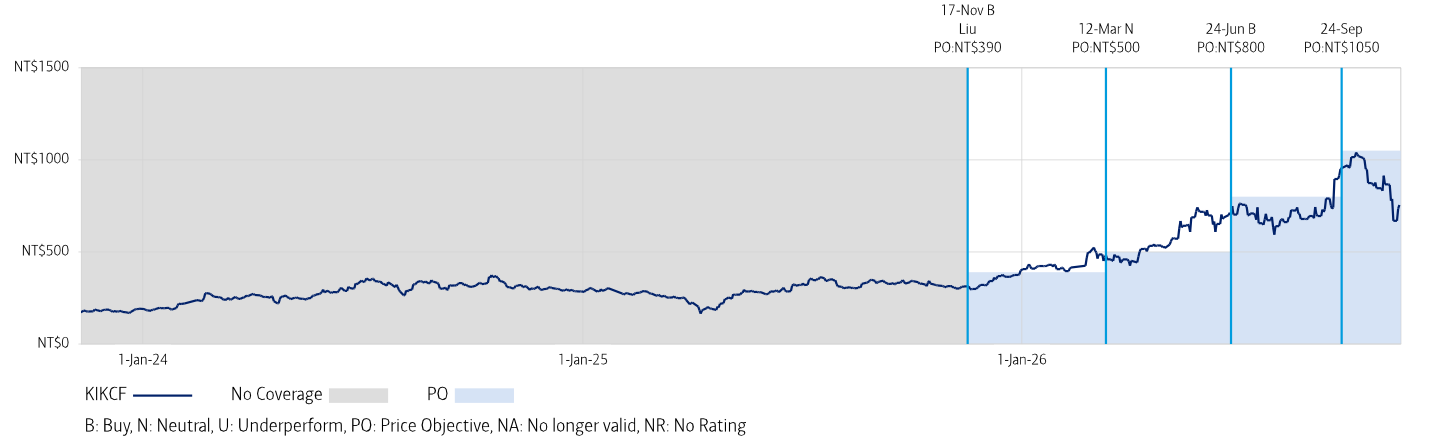
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Disclosures

Important Disclosures

Kinik (KIKCF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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